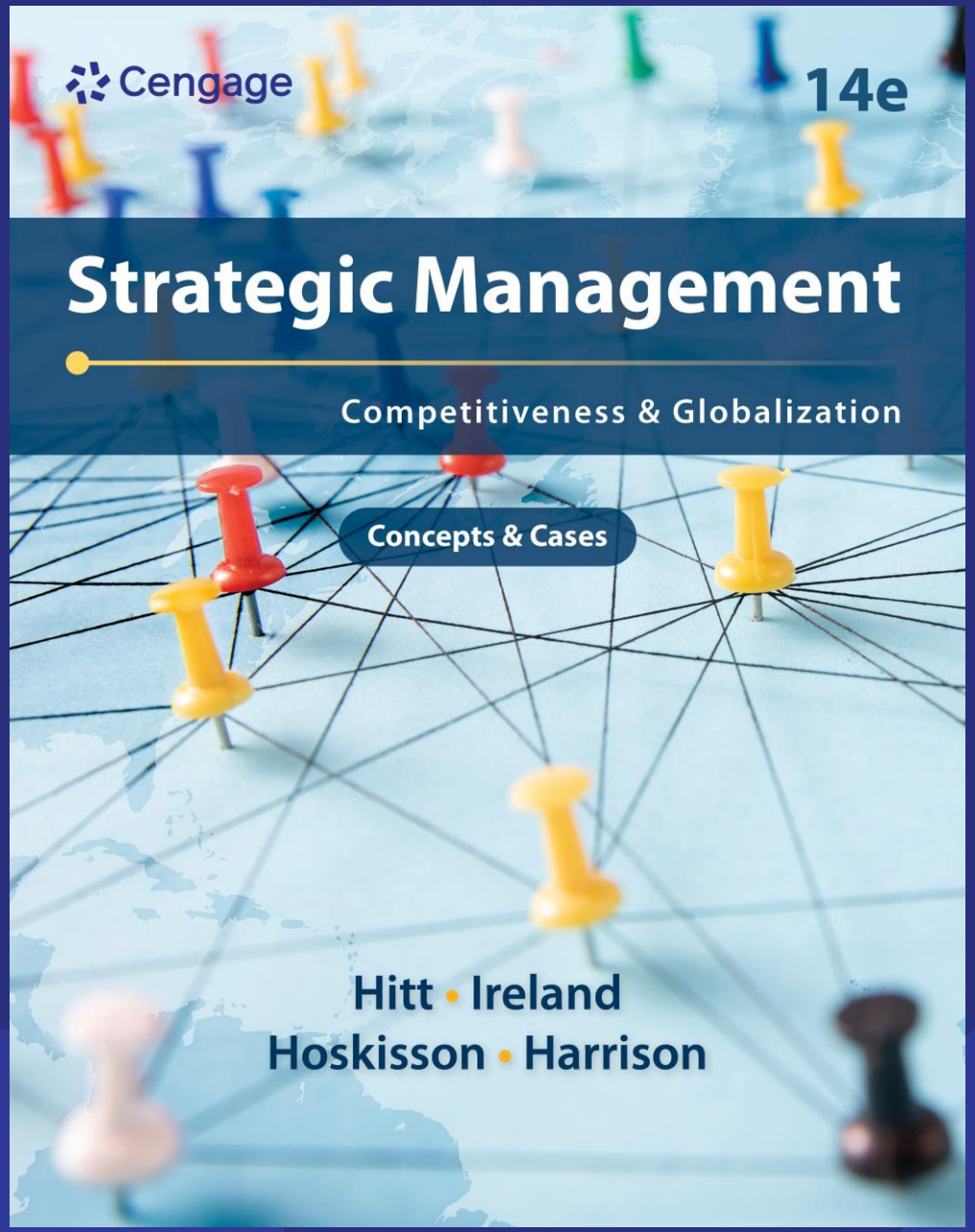


Chapter 5

Competitive Rivalry and Competitive Dynamics

Learning Objectives

By the end of this chapter, you should be able to:

5.1 Define competitors, competitive rivalry, competitive behavior, and competitive dynamics.

5.2 Explain the types of competitive actions, competitive responses, and non-market strategies rival firms engage in as they compete with each other.

5.3 Describe market commonality and resource similarity as the building blocks of competitor analysis.

5.4 Explain awareness, motivation, and ability as drivers of competitive behavior.

5.5 Discuss factors affecting the likelihood a firm will take actions to attack its competitors.

5.6 Explain factors affecting the likelihood a firm will respond to actions its competitors take.

5.7 Describe competitive dynamics in slow-cycle, fast-cycle, and standard-cycle markets.

invigilation

5-1

Defining and Understanding Competitors

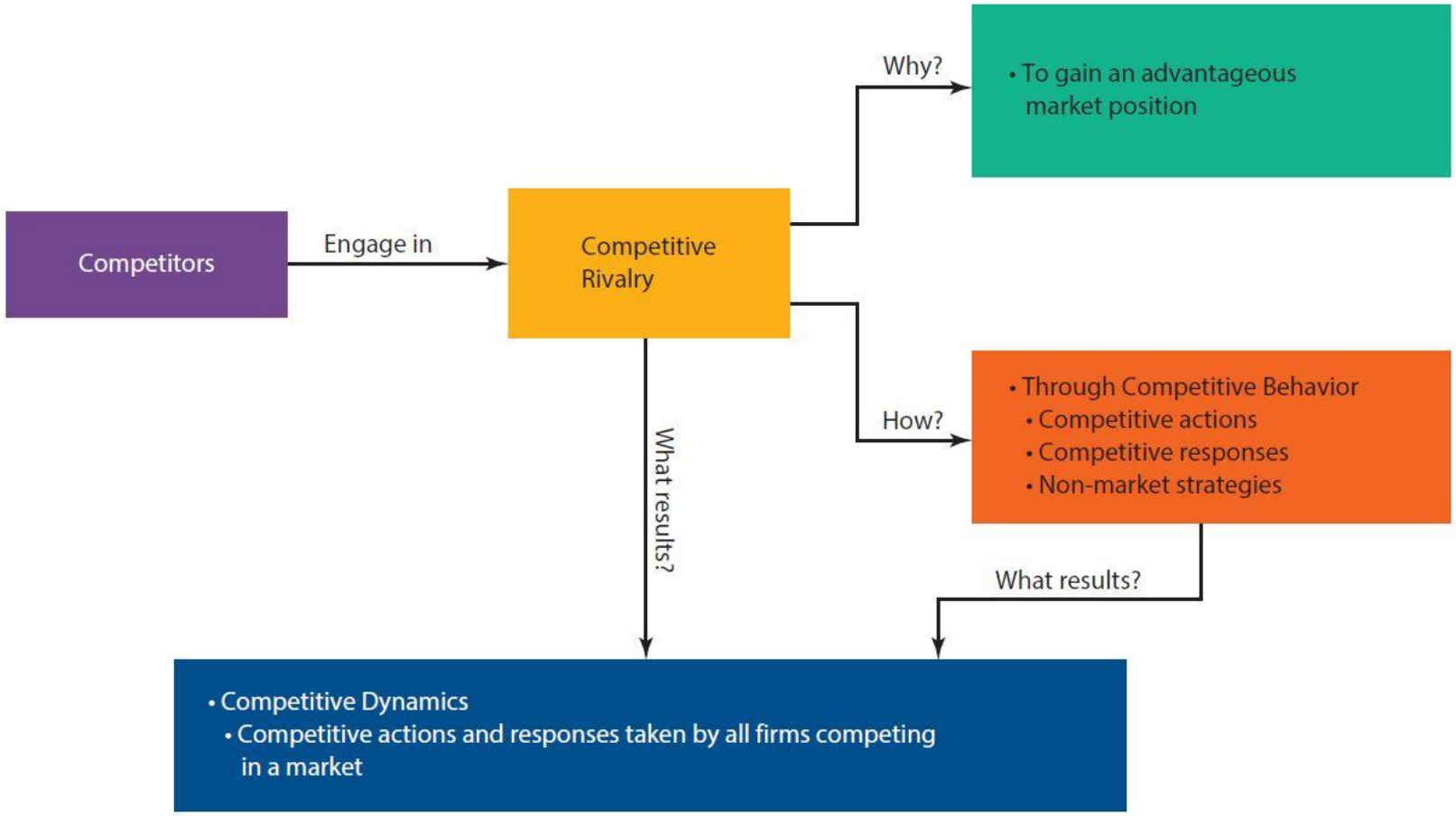
Defining and Understanding Competitors

- **Competitors** are firms operating in the same market, offering similar products, and targeting similar customers.
- Firms interact with competitors as part of the broad context within which they operate while attempting to earn above-average returns.
- Industries evolve through the competitive give and take of direct competitors as well as the actions of other firms within their ecosystems.
- Other firms in the ecosystem (e.g., suppliers) provide the new supplies and components that the innovation requires.

A Basic Understanding of Competitive Rivalry (1 of 2)

- **Competitive rivalry** describes competitive actions and competitive responses among firms as they maneuver for an advantageous market position.
- **Competitive behavior** is the set of competitive actions and responses a firm takes to build or defend its competitive advantages and to improve its market position.
- **Multipoint competition** occurs when firms compete against each other in several product or geographic markets.
- **Competitive dynamics** is the total set of competitive actions and responses taken by all firms competing within a market.

Figure 5.1 From Competition to Competitive Dynamics



Source: Adapted from M. J. Chen, 1996, Competitor analysis and interfirm rivalry: Toward a theoretical integration, Academy of Management Review, 21: 100–134.

A Basic Understanding of Competitive Rivalry (2 of 2)

- A strategy's success is a function of:
  - the firm's initial competitive actions.
  - how well the firm anticipates competitors' responses to them.
  - how well the firm anticipates and responds to its competitors' initial actions.
- Competitive rivalry affects all types of strategies, but its dominant influence is on business-level strategy.

Knowledge Check 5-1

_____ is the total set of competitive actions and responses taken by all firms competing within a market.

a. Competitive dynamics

b. Competitive rivalry

c. Multimarket competition

d. Competitive behavior

5-2

Strategic and Tactical Actions and Responses

Strategic and Tactical Actions and Responses

- A **competitive action** is a strategic or tactical action the firm takes to build or defend its competitive advantages or improve its market position.
- A **competitive response** is a strategic or tactical action the firm takes to counter the effects of a competitor's competitive action.
- A **strategic action** or a **strategic response** is a market-based move that involves a significant commitment of organizational resources and is difficult to implement and reverse.
- A **tactical action** or a **tactical response** is a market-based move that firms take to fine-tune a strategy; these actions and responses involve fewer resources and are relatively easy to implement and reverse.

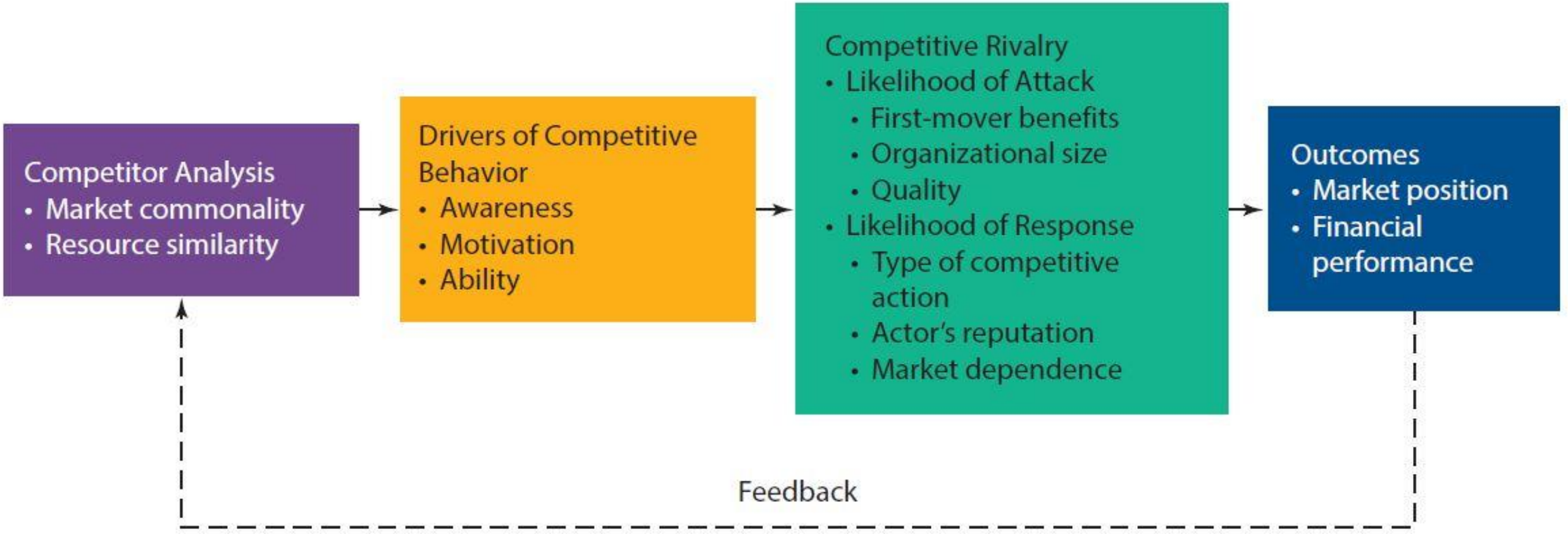
Non-market Strategies

- **Non-market strategies** focus on altering a firm's institutional environment as part of its competitive strategy.
- The institutional environment includes:
  - Government influences such as regulations that establish the "rules of the game."
    - A regulation a government enacts that pertains to a particular market or even a whole industry becomes a rule to which all companies in that market or industry must conform or pay the consequences.
  - Informal rules or norms that are predominant within a market or industry.

A Model of Competitive Rivalry

- Competitive rivalry evolves from the pattern of actions and responses as one firm's competitive actions have noticeable effects on competitors, eliciting competitive responses from them.
- This pattern suggests that:
  - firms are mutually interdependent.
  - competitors' actions and responses affect them.
  - marketplace success is a function of both:
    - individual strategies.
    - the consequences of their use.

Figure 5.2 A Model of Competitive Rivalry



Source: Adapted from M. J. Chen, 1996, Competitor analysis and interfirm rivalry: Toward a theoretical integration, Academy of Management Review, 21: 100–134.

Polling Activity 5-2

You own a local ice cream company that uses a special, French Pot method of making ice cream. You want to engage in competitive rivalry with a national chain. Which strategic or tactical action or response do you think would be best suited to this situation?

a. Competitive action

b. Competitive response

c. Strategic action or a strategic response

d. Tactical action or a tactical response

5-3

Competitor Analysis

Competitor Analysis (1 of 2)

- A competitor analysis is the first step the firm takes to be able to predict its competitors' actions and responses.
- Competitor analysis is a technique firms use to understand their competitive environment by studying competitors':
  - Future objectives
  - Current strategies
  - Assumptions
  - Capabilities

Competitor Analysis (2 of 2)

- When firms understand their competitors, they can use competitor analysis to *predict* competitors' behavior in the form of their competitive actions and responses.
- Being able to predict rivals' likely competitive actions and responses accurately helps a firm avoid *competitive blind spots*—situations in which it is unaware of competitors' objectives, strategies, assumptions, and capabilities.

Market Commonality

- **Market commonality** is concerned with the number of markets with which the firm and a competitor are jointly involved and the degree of importance of the individual markets to each.
- Firms competing against one another in several markets engage in multipoint competition.
- In general, multipoint competition reduces competitive rivalry, but some firms will still engage in attacks when the potential rewards (e.g., potential market share gain) are high.

Resource Similarity

- Resource similarity is the extent to which the firm's tangible and intangible resources compare favorably to a competitor's in terms of type and amount.
- Firms with similar types and amounts of resources tend to:
  - have similar strengths and weaknesses.
  - use similar strategies in light of their strengths to pursue what may be similar opportunities in the external environment.

Knowledge Check 5-3

MarblemawTech specializes in the sale and support of computers to the home user. Fellowes Networks services corporate clients, providing Internet access, setting up company intranets, and filling all their hardware and software needs. MarblemawTech and Fellowes Networks:

a. have high resource similarity.

b. have an intense rivalry.

c. are direct and mutually acknowledged competitors.

d. would not likely be engaged in competitive rivalry.

5-4

Drivers of Competitive Behavior

Drivers of Competitive Behavior (1 of 3)

- Market commonality and resource similarity shape the firm's:
  - *Awareness*—the extent to which competitors recognize the degree of their mutual interdependence.
    - Awareness tends to be greatest when firms have highly similar resources (in terms of types and amounts) to use when competing against each other in multiple markets.

Drivers of Competitive Behavior (2 of 3)

- *Motivation*—the firm's incentive to take action or to respond to a competitor's attack.
  - A firm may not be motivated to engage in competitive rivalry if it perceives that its market position will neither improve nor suffer if it does not respond.
- *Ability*—the quality of the resources available to the firm to attack and respond.
  - Without available resources (such as financial capital and people), the firm is not able to attack a competitor or respond to its action.

Drivers of Competitive Behavior (3 of 3)

- Resource *dissimilarity* also influences the competitive actions and responses firms choose to take.
  - The more significant the difference between resources, the longer is the delay by the firm with a resource disadvantage.
- Even when facing competitors with greater resources or more attractive market positions, firms should eventually respond, no matter how daunting the task seems.
  - Choosing not to respond can ultimately result in failure.

5-5

Actions That Drive Competitive Rivalry

Actions That Drive Competitive Rivalry

- **In addition to** market commonality, resource similarity, and the drivers of awareness, motivation, and ability, three more specific factors affect the likelihood a competitor will take competitive actions:
  - **First-mover benefits**
  - **Organizational size**
  - **Quality**

First-Mover Benefits (1 of 5)

- A **first mover** is a firm that takes an initial competitive action to build or defend its competitive advantages or to improve its market position.
- First movers emphasize research and development (R&D) as a path to developing innovative products that customers will value.
- First-mover benefits are often **critical to** a firm's success in **industries**:
  - experiencing **rapid technological developments.**
  - with relatively short product life cycles.

First-Mover Benefits (2 of 5)

- In addition to earning above-average returns until its competitors respond to its successful competitive action, the first mover can gain:
  - **the loyalty of customers**.
  - **market share.**
- First movers tend to:
  - be aggressive.
  - be willing to experiment with innovation.
  - take higher yet reasonable levels of risk.

First-Mover Benefits (3 of 5)

- **To be a first mover**, the firm must have the readily available resources to:
  - invest significantly in R & D.
  - rapidly and successfully produce and market a stream of innovative products.
- Organizational **slack** makes it possible for firms to have the ability to be first movers.
  - *Slack* is the buffer provided by actual or obtainable resources not in use currently and that exceed the minimum resources needed to produce a given level of organizational output.

First-Mover Benefits (4 of 5)

- A **second mover** is a firm that responds to the first mover's competitive action, typically through imitation.
- The second mover:
  - **studies customers' reactions** to product innovations.
  - **tries to find any mistakes** the first mover made so that it can avoid them and the problems they created.
  - **has the time** to develop processes and technologies that:
    - are more efficient than those the first mover used.
    - create additional value for consumers.
- The most successful second movers rarely act too fast or too slow.

First-Mover Benefits (5 of 5)

- A **late mover** is a firm that responds to a competitive action a significant amount of time after the first mover's action and the second mover's response.
- Late movers:
  - achieve considerably less success than do first and second movers.
  - require considerable time to understand how to create at least as much customer value as that offered by the first and second movers' products.

Organizational Size

- **An organization's size** affects the likelihood it will take competitive actions as well as the types and timing of those actions.
- **Small firms**:
  - are more likely to launch competitive actions.
  - tend to launch competitive actions more quickly.
  - have the capacity to be nimble and flexible competitors.
  - tend to rely on speed and surprise to defend their competitive advantages.
  - develop variety in their competitive actions.
- **Large firms** typically have **a greater** amount of **slack resources** that allows them to initiate a larger total number of competitive actions and strategic actions during a given period.

Quality

- **Quality** exists when the firm's products meet or exceed customers' expectations.
- Customers:
  - perceive quality as doing the right things relative to performance measures that are important to them.
  - measure the quality of products against a broad range of dimensions.
  - will not buy a product or use a service until they believe it can satisfy at least their base-level expectations in terms of quality dimensions that are important to them.

Knowledge Check 5-5

First movers in a fast-cycle market tend to have:

a. lower survival rates than second movers.

b. lower survival rates than late movers.

c. less organizational slack than second and late movers.

d. higher revenues than second movers.

5-6

Likelihood of Response

Likelihood of Response (1 of 2)

- In general, a firm is likely to respond to a competitor's action when either:
  - the action leads to better use of the competitor's capabilities to develop a stronger competitive advantage or an improvement in its market position.
  - the action damages the firm's ability to use its core competencies to create or maintain an advantage.
  - the firm's market position becomes harder to defend.

Likelihood of Response (2 of 2)

- In addition to market commonality, resource similarity, and awareness, motivation, and ability, firms evaluate three other factors to predict how a competitor is likely to respond to competitive actions:
  - Type of competitive action
  - Actor's reputation
  - Market dependence

Type of Competitive Action

- In general, the number of tactical responses firms take exceed the number of strategic responses they take.
- This is because:
  - strategic responses involve a significant commitment of resources.
  - strategic responses are difficult to implement and reverse.
  - the time needed to implement a strategic action and to assess its effectiveness can delay the competitor's response to that action.
- In contrast, a competitor likely will respond quickly to a tactical action.
- If the effects of a competitor's strategic action on the focal firm are significant, a response is likely to be swift and strong.

Actor's Reputation

- An *actor* is the firm taking an action or a response.
- *Reputation* is the positive or negative attribute ascribed by one rival to another based on past competitive behavior.
- Competitors are more likely to respond to strategic or tactical actions when market leaders take them.
- Competitors are less likely to respond to actions taken by a company with a reputation for risky, complex, and unpredictable competitive behavior.

Market Dependence

- *Market dependence* denotes the extent to which a firm derives its revenues or profits from a particular market.
- In general, competitors with high market dependence are likely to respond strongly to attacks threatening their market position.

Knowledge Check 5-6

The extent to which a firm's revenues or profits are derived from a particular market is known as market:

a. dominance.

b. dependence.

c. leadership.

d. strategy.

5-7

Competitive Dynamics in Different Types of Markets

Competitive Dynamics in Different Types of Markets

- Whereas competitive rivalry concerns the ongoing actions and responses between a firm and its direct competitors for an advantageous market position, ***competitive dynamics*** concerns the ongoing actions and responses among all firms competing within a market for advantageous positions.
- Competitive dynamics differ in slow-, fast-, and standard-cycle markets.
- How quickly competitors can imitate a rival's competitive advantage and the cost to do so influences the sustainability of a focal firm's competitive advantage.

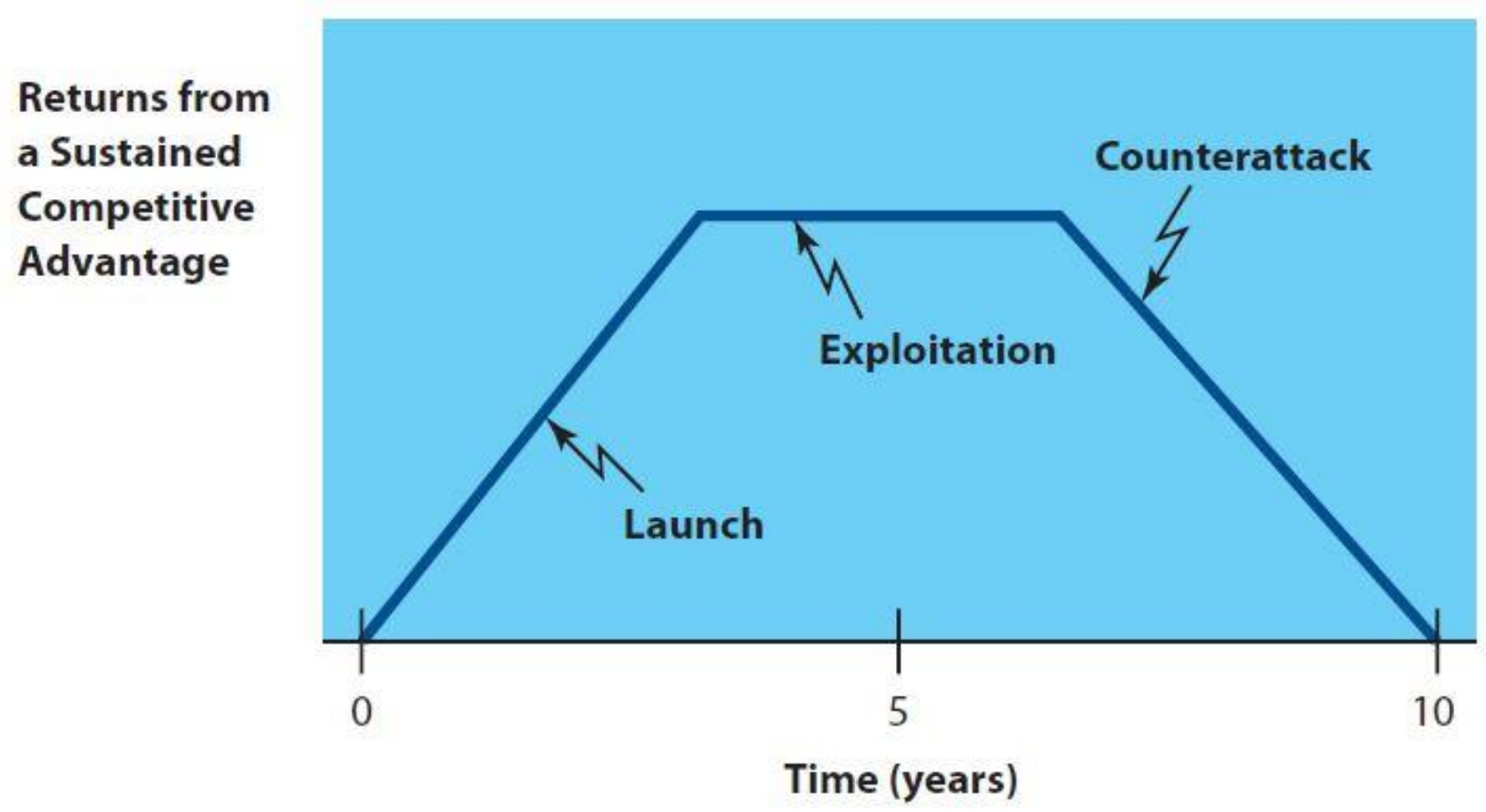
Slow-Cycle Markets (1 of 2)

- **Slow-cycle markets** are markets in which competitors lack the ability to imitate the focal firm's competitive advantages that commonly last for long periods, and where imitation would be costly.
- In a slow-cycle market:
  - firms may be able to sustain a competitive advantage over longer periods.
  - building a unique and proprietary capability produces a competitive advantage and success.
  - the competitive actions and responses a firm takes are oriented to protecting, maintaining, and extending that advantage.
  - major strategic actions usually carry less risk than in faster-cycle markets.

Slow-Cycle Markets (2 of 2)

- In slow-cycle markets:
  - the firm launches a product it developed through a proprietary advantage.
  - it then exploits that advantage for as long as possible while the product's uniqueness shields it from competition.
  - eventually, competitors respond to the action with a counterattack.

Figure 5.3 Gradual Erosion of a Sustained Competitive Advantage



Source: Adapted from I. C. MacMillan, 1988, Controlling competitive dynamics by taking strategic initiative, Academy of Management Executive, II(2): 111–118.

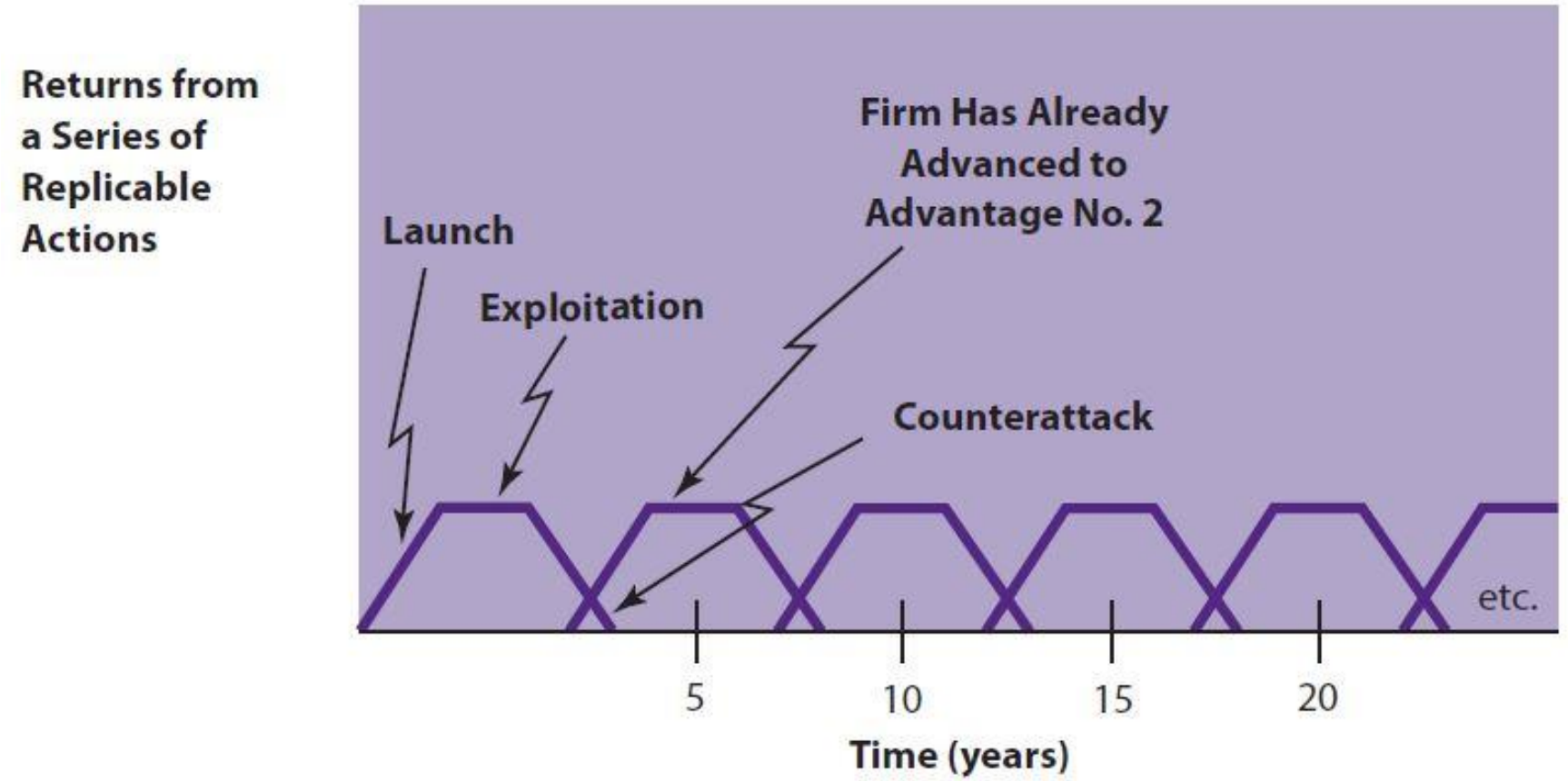
Fast-Cycle Markets (1 of 2)

- **Fast-cycle markets** are markets in which competitors can imitate the focal firm's capabilities that contribute to its competitive advantages and where that imitation is often rapid and inexpensive.
- In a fast-cycle market:
  - the velocity of change places considerable pressure on top-level managers to make quick and effective strategic decisions.
  - reverse engineering is often used to gain quick access to the knowledge required to imitate or improve the firm's products.
  - technology diffuses rapidly.

Fast-Cycle Markets (2 of 2)

- In a fast-cycle market:
  - the technology firms use often is not proprietary not protected by patents.
  - companies focus on forming the capabilities and core competencies that will allow them to develop new competitive advantages continuously and rapidly.
  - competition is substantial as firms concentrate on developing a series of temporary competitive advantages.
    - The firm launches a product to achieve a competitive advantage.
    - It then exploits that advantage for as long as possible.
    - It also tries to develop another competitive advantage before competitors can respond to the first one.

Figure 5.4 Developing Temporary Advantages to Create Sustained Advantage



Source: Adapted from I. C. MacMillan, 1988, Controlling competitive dynamics by taking strategic initiative, Academy of Management Executive, II(2): 111–118.

Standard-Cycle Markets (1 of 2)

- **Standard-cycle markets** are markets in which some competitors may be able to imitate the focal firm's competitive advantages and where that imitation is moderately costly.
- In a standard-cycle market:
  - competitive advantages are partially sustainable but only if the firm can upgrade the quality of its capabilities continuously.
  - imitation is faster and less costly than in slow-cycle markets.
  - imitation is slower and more expensive than in fast-cycle markets.
  - both incremental and radical innovations are critical to firms' efforts to achieve strategic competitiveness.

Standard-Cycle Markets (2 of 2)

- Firms imitate competitive actions and responses in standard-cycle markets to:
  - seek large market shares.
  - gain customer loyalty through brand names.
  - control a firm's operations carefully.
- The competition for market share is intense in standard-cycle markets because of:
  - large volumes.
  - the size of mass markets.
  - the need to develop scale economies.

Knowledge Check 5-7

In what type of market do firms abandon their products and move on in response to market needs?

a. Slow-cycle

b. Standard-cycle

c. Mixed-cycle

d. Fast-cycle

Summary

Click the link to review the objectives for this presentation.

Link to Objectives